

NOVATECH SOLUTIONS INC.

Third Quarter Fiscal 2024 Earnings Report

For the Quarter Ended September 30, 2024

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Q3 2024 Financial Highlights			
Revenue	\$2.84 Billion	Net Income	\$412 Million
Gross Margin	67.3%	EPS (Diluted)	\$3.21
Operating Income	\$538 Million	Free Cash Flow	\$701 Million
YoY Revenue Growth	+18.4%	YoY Net Income Growth	+24.1%

Letter to Shareholders

Dear Shareholders,

NovaTech Solutions delivered another strong quarter in Q3 2024, with revenue of \$2.84 billion, representing an 18.4% increase year-over-year and a 6.2% increase quarter-over-quarter from \$2.67 billion in Q2 2024. This growth was driven primarily by continued momentum in our cloud infrastructure segment, which grew 34% year-over-year to \$1.21 billion, as enterprise customers accelerated their digital transformation investments.

Our AI and Machine Learning Platform (AML) segment recorded its strongest quarter since launch, generating \$487 million in revenue, up 62% year-over-year. Demand for our GenAI developer tools and enterprise inference APIs exceeded our internal forecasts. We expect the AML segment to represent over 25% of total revenue by fiscal year 2025.

Gross margin expanded to 67.3% from 64.8% in Q3 2023, reflecting favorable product mix shift toward higher-margin software and services revenue. Operating expenses as a percentage of revenue declined to 48.4% from 51.2% a year ago, demonstrating continued operating leverage as we scale.

We generated \$701 million in free cash flow during the quarter, enabling us to return \$280 million to shareholders through share repurchases and \$95 million in dividends. Our balance sheet remains strong with \$4.2 billion in cash and short-term investments.

Looking ahead to Q4 2024, we guide revenue in the range of \$2.95 billion to \$3.05 billion, implying year-over-year growth of 16% to 20%. We remain confident in our full-year fiscal 2024 target of \$11.1 billion to \$11.3 billion.

Sarah Chen

Chief Executive Officer, NovaTech Solutions Inc.

Financial Results — Q3 2024

Revenue by Segment

Segment	Q3 2024 (\$M)	Q3 2023 (\$M)	YoY Change	Q2 2024 (\$M)	QoQ Change
Cloud Infrastructure	1,210	903	+34.0%	1,098	+10.2%
AI & ML Platform (AML)	487	301	+61.8%	402	+21.1%
Enterprise Software	642	598	+7.4%	631	+1.7%
Professional Services	318	297	+7.1%	312	+1.9%

Hardware & Devices	183	297	−38.4%	227	−19.4%
Total Revenue	2,840	2,396	+18.5%	2,670	+6.4%

The Hardware & Devices segment continued its planned wind-down as NovaTech executes its strategic pivot toward software and services. Management expects this segment to represent less than 5% of total revenue by the end of fiscal 2025.

Revenue by Geography

Region	Q3 2024 (\$M)	Q3 2023 (\$M)	YoY Change	% of Total
North America	1,421	1,214	+17.1%	50.0%
Europe, Middle East & Africa	682	551	+23.8%	24.0%
Asia Pacific	512	439	+16.6%	18.0%
Latin America & Other	225	192	+17.2%	7.9%
Total	2,840	2,396	+18.5%	100.0%

Condensed Consolidated Income Statement (Unaudited)

(in millions USD, except per share data)

	Q3 2024	Q3 2023	9M 2024	9M 2023
Revenue	\$2,840	\$2,396	\$8,241	\$6,912
Cost of Revenue	928	843	2,712	2,501
Gross Profit	1,912	1,553	5,529	4,411
Gross Margin %	67.3%	64.8%	67.1%	63.8%
Research & Development	487	421	1,412	1,198
Sales & Marketing	341	312	991	897
General & Administrative	142	127	418	372
Restructuring Charges	404	0	404	48
Total Operating Expenses	1,374	860	3,225	2,515
Operating Income	538	693	2,304	1,896
Operating Margin %	18.9%	28.9%	28.0%	27.4%
Interest Income	48	31	138	82
Interest Expense	(12)	(14)	(37)	(43)
Income Before Taxes	582	707	2,419	1,926
Income Tax Provision	170	375	687	541
Net Income	\$412	\$332	\$1,732	\$1,385
EPS — Basic	\$3.31	\$2.64	\$13.88	\$10.98
EPS — Diluted	\$3.21	\$2.58	\$13.47	\$10.72

Note: Q3 2024 includes a one-time restructuring charge of \$404 million related to the wind-down of the Hardware & Devices segment and associated workforce reduction of approximately 1,200 positions. Excluding this charge, adjusted operating income was \$942 million and adjusted operating margin was 33.2%.

Cash Flow Summary

(\$M)	Q3 2024	Q3 2023	9M 2024	9M 2023
Net Income	\$412	\$332	\$1,732	\$1,385
Depreciation & Amortisation	187	162	548	471
Stock-Based Compensation	124	108	368	312
Changes in Working Capital	(47)	(38)	(142)	(87)
Cash from Operations	701	582	2,578	2,132
Capital Expenditures	(187)	(148)	(541)	(432)
Free Cash Flow	\$701	\$582	\$2,578	\$2,132
Share Repurchases	(280)	(241)	(842)	(712)
Dividends Paid	(95)	(82)	(283)	(241)

Management Discussion & Analysis

Revenue Discussion

Total revenue for Q3 2024 was \$2.84 billion, an increase of \$444 million or 18.5% compared to \$2.396 billion in Q3 2023. On a constant currency basis, revenue grew approximately 20.1%, as foreign exchange headwinds reduced reported revenue by approximately \$38 million during the quarter.

Cloud Infrastructure revenue grew \$307 million or 34.0% year-over-year to \$1.21 billion, driven by a 41% increase in compute revenue and a 28% increase in storage revenue. The number of customers with annual contract value exceeding \$1 million increased to 412 from 287 a year ago.

AI & ML Platform revenue of \$487 million grew 61.8% year-over-year. Growth was driven by strong adoption of NovaTech GenAI APIs, which processed 2.4 trillion tokens during the quarter, up from 800 billion tokens in Q3 2023. The number of active AI Platform developers reached 187,000, up 94% year-over-year.

Gross Margin Discussion

Gross margin expanded 250 basis points year-over-year to 67.3%. The primary drivers were: (1) revenue mix shift toward higher-margin cloud and AI software, which collectively represented 60% of revenue versus 50% a year ago; (2) improved infrastructure utilisation rates rising to 78% from 71% in Q3 2023; and (3) renegotiated data center colocation agreements reducing per-unit hosting costs by approximately 8%.

Operating Expenses

Research and development expense increased \$66 million or 15.7% to \$487 million, representing 17.1% of revenue. R&D; headcount increased to 8,412 from 7,634 a year ago. Sales and marketing expense was \$341 million or 12.0% of revenue, down from 13.0% in Q3 2023, reflecting continued operating leverage.

During Q3 2024, the company recorded a one-time restructuring charge of \$404 million related to the strategic wind-down of the Hardware & Devices segment. This includes \$241 million in asset write-downs, \$118 million in employee severance for approximately 1,200 employees, and \$45 million in contract termination costs.

Forward Guidance

Q4 2024 Guidance

Metric	Q4 2024 Guidance	Q4 2023 Actual	Implied YoY Growth
Total Revenue	\$2,950M – \$3,050M	\$2,541M	+16.1% – +20.0%
Gross Margin (GAAP)	67.0% – 68.0%	65.2%	+180 to +280 bps
Operating Income (GAAP)	\$870M – \$920M	\$721M	+20.7% – +27.6%
EPS Diluted (GAAP)	\$3.45 – \$3.65	\$2.87	+20.2% – +27.2%
Capital Expenditures	~\$210M	\$162M	+29.6%

Full Year 2024 Guidance (Updated)

Metric	FY 2024 Updated	FY 2024 Prior	FY 2023 Actual
Total Revenue	\$11,100M – \$11,300M	\$10,800M – \$11,200M	\$9,487M
Gross Margin	67.0% – 67.5%	65.5% – 66.5%	64.1%
Operating Income	\$2,800M – \$2,900M	\$2,600M – \$2,800M	\$2,312M
EPS Diluted	\$13.10 – \$13.50	\$12.50 – \$13.20	\$10.87
Free Cash Flow	~\$3,200M	~\$2,900M	\$2,541M

Key Operating Metrics

Metric	Q3 2024	Q3 2023	YoY Change
Total Customers	24,812	19,341	+28.3%
Enterprise Customers (>\$100K ARR)	3,412	2,287	+49.2%
Net Revenue Retention Rate	118%	112%	+6 pts
Annual Recurring Revenue (ARR)	\$9.8B	\$7.4B	+32.4%
Remaining Performance Obligations	\$14.2B	\$10.1B	+40.6%
Total Headcount	21,487	19,842	+8.3%
AI Tokens Processed (Trillions)	2.4	0.8	+200.0%
Platform Uptime SLA	99.97%	99.94%	+3 bps

This document contains forward-looking statements. NovaTech Solutions Inc. is a fictional company created for software testing purposes only. All figures are fabricated.